

Why do people and families invest?

1. Key ideas

Why invest? 投资目的	People and families make a financial investment (金融投资) to move money toward a future financial goal (财务目标) . They seek an expected return (预期回报) , while accepting that the result is uncertain and possible loss (可能亏损) remains. A return (回报) may help reach the goal, but it is never guaranteed.		
	Common future goals		
	Financial goal (财务目标)	How return (回报) may help	Important limit
	University costs	May increase money available	Return (回报) may be negative
	Home purchase	May build the future deposit	Lower market value (市场价值) may delay the purchase
	Retirement	May support later spending	Future return (回报) is uncertain
	Purchasing power (购买力)	May outpace inflation (通货膨胀)	Inflation (通货膨胀) may exceed return (回报)
Financial goal 财务目标	A financial goal (财务目标) states the future use of money, a target amount (目标金额) , its priority (优先级) and when the money is needed. A usable goal helps a family judge the time horizon (投资期限) , liquidity (流动性) need and consequences of possible loss (可能亏损) .		
	Examples • CNY 60,000 for university costs in six years; priority (优先级): high • CNY 120,000 toward a home purchase in twelve years • Additional retirement income beginning in thirty years		
Before investing 投资前	A goal comes before a choice of investment (投资) . Money needed soon or for essential spending (必要支出) is generally kept available rather than exposed to possible loss (可能亏损) .		
	Examples • Define the purpose, target amount (目标金额), priority (优先级) and date • Keep near-term essential money available • Gather evidence before considering investment (投资) for longer-term money		

2. Choose the most defensible next step

Situation	Next step + reason
1. No purpose, target amount (目标金额) or date has been stated.	<i>Define the financial goal (财务目标)</i>
2. The money is needed in six months, and a possible loss (可能亏损) would prevent an essential payment.	
3. The goal is twenty years away. Near-term needs are covered, but no investment (投资) has been compared.	
4. A family has CNY 50,000 but says only, "We want more money."	
5. Li needs CNY 12,000 for school fees in nine months. The amount and date cannot be reduced or delayed.	
6. Li also has CNY 18,000 for retirement in twenty-five years. Emergency money is separate, and a temporary fall in market value (市场价值) would not damage the goal.	
7. Maya wants money for university but has not set a target amount (目标金额) or date.	
8. Omar has one amount for repairs in four months and another for education in twelve years.	
9. Nadia's goal is fifteen years away, but a 10% fall in market value (市场价值) would prevent her family from paying essential bills.	
10. Wei wants the asset (资产) with the highest recent return (回报), but has not defined a financial goal (财务目标).	
11. Sara needs emergency money available immediately. A high return (回报) matters less than access.	
12. Ravi's home-purchase goal is twelve years away. Near-term needs are covered; he has checked risks (风险), fees (费用) and how possible loss (可能亏损) could affect the goal.	
13. Tara's goal is five years away and the date is flexible. She accepts possible loss (可能亏损) but has not compared evidence.	

3. Multiple-choice questions

Circle the best answer.

1. Which is the most usable financial goal (财务目标)?

- A. Become richer.
- B. CNY 60,000 for university costs in six years; priority (优先级): high.
- C. Buy whichever asset (资产) rose most last month.
- D. Decide later whether to use saving (储蓄) or investment (投资).

2. Why might a family make a financial investment (金融投资)?

- A. To guarantee that its money increases.
- B. To avoid defining a goal.
- C. To seek a return (回报) that may help fund a future goal while accepting possible loss (可能亏损).
- D. To keep all money ready for immediate spending.

3. A family has CNY 50,000 but no stated financial goal (财务目标). What is the strongest next step?

- A. Define the purpose, target amount (目标金额), priority (优先级) and time horizon (投资期限).
- B. Buy the asset (资产) with the highest recent return (回报).
- C. Use all the money for investment (投资) because every goal is long term.
- D. Choose an investment (投资) before deciding when the money is needed.

4. Which money is normally least suitable to expose to possible loss (可能亏损)?

- A. Money for retirement in twenty-five years when near-term needs are covered.
- B. School-fee money needed in six months when the amount and date are fixed.
- C. Money for a flexible goal fifteen years away.
- D. Longer-term money after the family has checked evidence and risks (风险).

5. Why can two financial goals (财务目标) lead to different next steps?

- A. The larger target always requires investment (投资).
- B. Every future goal requires the same decision.
- C. The time horizon (投资期限), liquidity (流动性) need and consequences of possible loss (可能亏损) can differ.
- D. The family's name decides which option is suitable.

4. Short-answer questions

Use at least two accurate terms in each answer. Explain the reason for the next step.

1. A family has CNY 50,000 but no stated purpose for it. What should the family do before considering financial investment (金融投资)? Explain which details would make the goal usable. You may use two or more terms: financial goal (财务目标), target amount (目标金额), priority (优先级), time horizon (投资期限).

2. Li needs CNY 12,000 for school fees in nine months and has CNY 18,000 for retirement in twenty-five years. Explain why the two amounts may require different next steps. You may use two or more terms: saving (储蓄), financial investment (金融投资), time horizon (投资期限), liquidity (流动性), possible loss (可能亏损).

3. Correct the claim: "Financial investment (金融投资) is simply a way to make more money." Explain why a goal and the consequences of possible loss (可能亏损) must be considered. You may use two or more terms: financial goal (财务目标), expected return (预期回报), liquidity (流动性), possible loss (可能亏损), evidence.